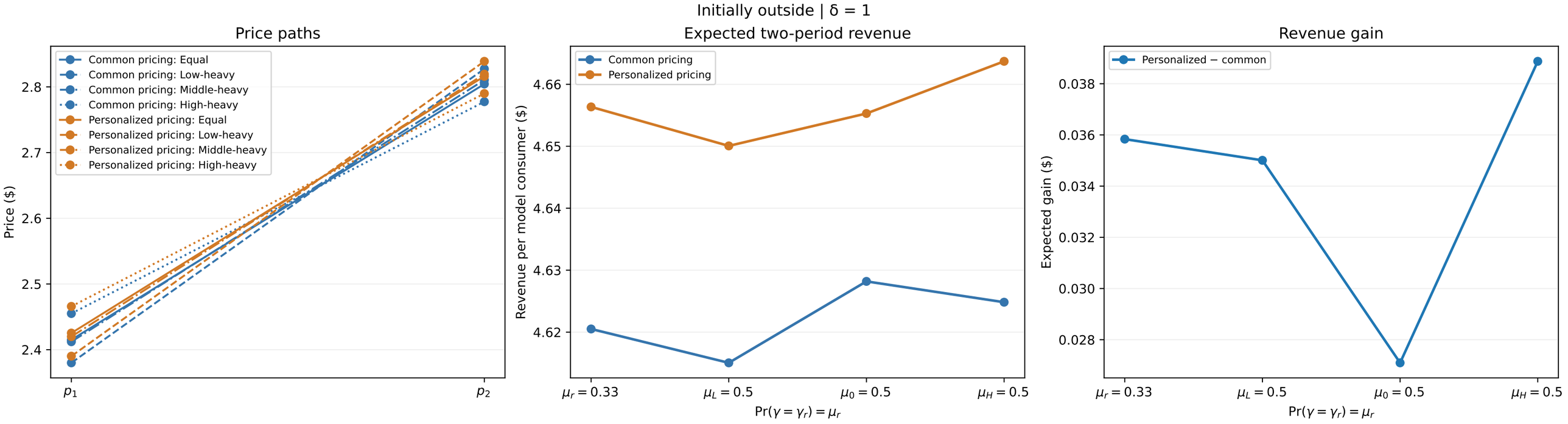
Initially outside | δ = 1
Price paths
Common pricing: Equal
Common pricing: Low-heavy
Common pricing: Middle-heavy
Common pricing: High-heavy
Personalized pricing: Equal
Personalized pricing: Low-heavy
Personalized pricing: Middle-heavy
Personalized pricing: High-heavy
Price ($)
2.8
2.7
2.6
2.5
2.4
p_1
p_2
Expected two-period revenue
Common pricing
Personalized pricing
Revenue per model consumer ($)
4.66
4.65
4.64
4.63
4.62
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$
Revenue gain
Personalized − common
Expected gain ($)
0.038
0.036
0.034
0.032
0.030
0.028
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$